Type MS · Statement of financial position from incomplete records

Answer 1 of 5 · Question 2 part a.ii · 15 marks

2024 JUN · Paper 02 · extract 1 of 2 · find part a.ii in this mark scheme extract

| Number | | |
|---|---|---|
| **2(a)(i)** | **Award mark as indicated**<br><br>$12 000 **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(a)(ii)** | **Award marks as indicated.** | **(15)** |

**Thelma**
**Statement of Financial Position at 31 December 2023**

| | $ | $ |
|---|---|---|
| **Assets** | | |
| **Non-current assets** | | |
| Motor vehicles | | 17 600**(1)** |
| | | |
| **Current assets** | | |
| Inventory | 14 568 | |
| Trade receivables | 2 167 | |
| Other receivables | 200**(1)** | |
| Cash in hand | 890 | |
| | | 17 825**(1)** |
| **Total assets** | | 35 425**(1of)** |
| **Equity and liabilities** | | |
| **Equity** | | |
| At 1 January 2023 | 12 000**(1of)** | |
| Additional capital | 10 000 **(1)** | |
| Profit for the year | 5 135 **(1)** | |
| Drawings | (4 800) **(1)** | |
| Total equity | | 22 335 **(1of)** |
| **Non-current liabilities** | | |
| Bank loan (2028) | | 5 000**(1)** |
| **Current liabilities** | | |
| Bank loan (2024) | 3 000**(1)** | |
| Bank overdraft | 2 198**(1)** | |
| Trade payables | 2 325 | |
| Other payables | 567**(1)** | |
| | | 8 090**(1)** |
| **Total liabilities** | | 13 090 |
| **Total equity and liabilities** | | 35 425**(1of)** |

Type MS · Statement of financial position from incomplete records

Answer 1 of 5 · Question 2 part a.ii · 15 marks

2024 JUN · Paper 02 · extract 2 of 2 · find part a.ii in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(b)** | **Award 1 mark for identification and 1 for development for each reason.**<br><br>**Sample answer**<br><br>A business should maintain full accounting records to prepare financial statements more frequently **(1)** as the information required will be readily available **(1)**<br><br>It will help the business owners to improve their decision making **(1)** as the financial information will be more accurate and up to date **(1)**<br><br>**Accept any other appropriate responses** | **(4)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(c)** | **Award up to 2 marks for a discussion on the meaning of each individual ratio.**<br>**Up to 2 marks for the implication for their credit suppliers.**<br>**Award 1 mark for a conclusion**.<br><br>**Sample answer**<br><br>The current ratio indicates that they are just able to cover their short-term debts **(1)** whereas their quick ratio indicates that they are below the ideal ratio of 1:1. **(1)**<br><br>The implication of this for a credit supplier is that the business may experience some difficulty in meeting its short-term debts **(1).**<br>This will have a negative effect on the supplier who may stop supplying goods to the supplier until debts are paid. **(1)**<br><br>The liquidity of the business has worsened over the two years **(1)** which is evidenced by the reduction in both ratios.<br><br>**Accept any other appropriate responses** | **(5)** |

**TOTAL FOR QUESTION 2 = 25 MARKS**

Type MS · Statement of financial position from incomplete records

Answer 2 of 5 · Question 1 part c · 5 marks

2020 JAN · Paper 02 · extract 1 of 2 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **Award marks as indicated.**<br>$68 400 **(3) W**<br>**W**<br>$109 100 **(1)**-$40 700 **(1)** = $68 400 **(1of)** | **(3)** |

| Question number | Answer | Mark |
|---|---|---|
| **1(b)** | **Award marks as indicated.**<br>**Award one mark for all correct labels.** | **(6)** |

**Mia**
**Income statement for the year ended 31 December 2019**

| | $ | $ | |
|---|---|---|---|
| Revenue | | 210 000 | **(1)** |
| Cost of sales | | | |
| Opening inventory | 20 000 | | |
| Purchases | 155 000 | | **(1)** |
| Goods for own use | (3 000) | | **(1)** |
| Closing inventory | (25 000) | | |
| | | (147 000) | **(1)** |
| Gross profit | | 63 000 | **(1of)** |

| Question number | Answer | Mark |
|---|---|---|
| **1(c)** | **Award marks as indicated.**<br>**Award one mark for all correct labels.** | **(5)** |

**Mia**
**Statement of financial Position at 31 December 2019**

| | $ | |
|---|---|---|
| **Equity** | | |
| Equity at 1 January | 68 400 | |
| Additional equity | 10 000 | **(1)** |
| Profit for the year | 21 000 | **(1)** |
| Drawings | (18 150) | **(1)** |
| Total equity | 81 250 | **(1of)** |

Type MS · Statement of financial position from incomplete records

Answer 2 of 5 · Question 1 part c · 5 marks

2020 JAN · Paper 02 · extract 2 of 2 · find part c in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(d) | **Award 1 mark for each correct answer up to a maximum of 2 marks.**<br><br>Physical deterioration/ wear and tear/usage/rust/erosion/rot and decay **(1)**<br><br>Economic reasons/obsolescence **(1)**<br><br>Passage of time/time factor **(1)**<br><br>Depletion **(1)** | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(e) | **Award 1 mark for each correct answer up to a maximum of 2 marks.**<br><br>Accruals **(1)**<br>Prudence **(1)**<br>Consistency **(1)** | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(f) (i) | **Award 1 mark for each correct answer.** | **(2)** |

| Ratio | Formula |
|---|---|
| current (working capital) | Current assets / Current liabilities **(1)** |
| liquid (acid test) | Current assets – inventory / Current liabilities **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(f) (ii) | **Award 1 mark for a general statement regarding the change in liquidity over the year. Further 3 marks for discussion on both ratios and the final 1 mark for a conclusion.**<br><br>**Sample answer:**<br><br>The liquidity of the business has declined **(1)** over the year which is evidenced by the reduction in both ratios.<br><br>The current ratio indicates that the business can pay its short-term debts **(1).** However, the acid test ratio indicates that the business will struggle to pay its short-term debts from its liquid assets **(1)** which is due to the business holding too much inventory **(1)**.<br><br>In order to improve liquidity, the business needs to convert inventory into cash quicker to improve the bank balance **(1)**. | **(5)** |

**(Total for Question 1 = 25 marks)**

Type MS · Statement of financial position from incomplete records

Answer 3 of 5 · Question 1 part b · 10 marks

2022 JUN · Paper 02 · extract 1 of 3 · find part b in this mark scheme extract

**1(a)**

**Award marks as indicat**

| Sajjan<br>Income statement for the year ended 30 April 2022 | | |
|---|---|---|
| | **$** | **$** |
| Revenue / Sales<br>165 200 **(1) or** 216 900 **(2)** | | 216 900<br>**(2)** |
| Cost of sales | | |
| Purchases<br>104 200 **(1) or** 146 700 **(2)** | 146 700<br>**(2)** | |
| Closing inventory | (36 000) | |
| | | (110 700) |
| **Gross profit** | | 106 200<br>**(1of)** |
| Expenses | | |
| Office expenses | 18 975 | |
| Motor expenses | 5 000 | |
| Rent and rates | 13 200<br>**(1)** | |
| Wages and salaries | 31 000<br>**(1)** | |
| Provision for irrecoverable debts | 2 585<br>**(1)** | |
| Depreciation - motor vehicle | 2 000<br>**(1)** | |
| | | (72 760) |
| **Profit for the year** | | 33 440<br>**(1)** |

**(10)**

## Type MS · Statement of financial position from incomplete records

### Answer 3 of 5 · Question 1 part b · 10 marks

2022 JUN · Paper 02 · extract 2 of 3 · find part b in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(b) | **Award marks as indicated.** | **(10)** |

**Sajjan**
**Statement of financial position at 30 April 2022**

| **Assets** | **$** | **$** |
|---|---|---|
| **Non-current assets** | | |
| Motor vehicle | | 38 000 **(1)** |
| **Current assets** | | |
| Inventory | | 36 000 |
| Trade receivables | 51 700 | |
| Provision for irrecoverable debts | 2 585 | |
| | | 49 115 **(1)** |
| Other receivables | | 1 400 |
| | | 86 515 **(1)** |
| **Total assets** | | 124 515 **(1of)** |
| **Equity and liabilities** | | |
| **Equity** | | |
| Capital introduced | 75 000 | |
| Profit for the year | 33 440 **(1of)** | |
| Drawings | (31 750) **(1)** | |
| **Total equity** | | 76 690 **(1of)** |
| **Current liabilities** | | |
| Trade payables | | 42 500 |
| Other payables | | 2 100 |
| Bank overdraft | | 3 225 **(1)** |
| | | 47 825 **(1)** |
| **Total equity and liabilities** | | 124 515 **(1of)** |

Type MS · Statement of financial position from incomplete records

Answer 3 of 5 · Question 1 part b · 10 marks

2022 JUN · Paper 02 · extract 3 of 3 · find part b in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(c)(i) | **Award 1 mark for explaining the concept plus marks as indicated for development.**<br><br>**Sample answer**<br><br>Prudence concept states that profits and assets should not be overstated and losses and liabilities should not be understated**(1)**.<br><br>Maintaining a provision for irrecoverable debts ensures that the profit for the year is not overstated **(1)** and trade receivables are not overstated **(1)**. | **(3)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(c)(ii) | **Award 1 mark for explaining the concept plus marks as indicated for development.**<br><br>**Sample answer**<br><br>Accruals concept states that revenue of the accounting period should be matched against the costs of the same period whether paid or not **(1)**.<br><br>Maintaining a provision for irrecoverable debts ensures that the amount of sales which are unlikely to be paid are regarded as an expense in the year of sale **(1).** | **(2)** |

**(Total for Question 1 = 25 marks)**

## Type MS · Statement of financial position from incomplete records

### Answer 4 of 5 · Question 2 part b · 17 marks

2023 NOV · Paper 02 · extract 1 of 3 · find part b in this mark scheme extract

| Number | | |
|---|---|---|
| **2(a)** | **Award marks as indicated for calculation.**<br><br>$144 605 **(3) W**<br><br>**W** $171 105 **(1)** – 26 500 **(1)** = $144 605 **(1of)** | **(3)** |

Type MS · Statement of financial position from incomplete records

Answer 4 of 5 · Question 2 part b · 17 marks

2023 NOV · Paper 02 · extract 2 of 3 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(b)** | **Award marks as indicated.** | **(17)** |

**Ed**
**Statement of financial position at 30 April 2023**

| **Assets** | **$** | **$** |
|---|---|---|
| **Non-current assets** | | |
| Fixtures and fittings | | 178 175 **(1)** |
| **Current assets** | | |
| Inventory | | 17 600 **(1)** |
| Trade receivables | 85 500 **(1of)** | |
| Allowance for irrecoverable debts | (1 710) **(1)** | 83 790**(1)** |
| | | 101 390 |
| **Total assets** | | 279 565**(1of)** |
| **Equity and liabilities** | | |
| **Equity** | | |
| At 1 May 2022 | 144 605 **(1of)** | |
| Profit for the year **W1** | 42 960 **(2)** | |
| Drawings | (6 090) **(1)** | |
| **Total equity** | | 181 475**(1of)** |
| **Non-current liabilities** | | |
| Bank loan | | 75 000 **(1)** |
| **Current liabilities** | | |
| Trade payables | 18 540 **(1)** | |
| Other payables | 1 900 **(1)** | |
| Bank overdraft | 2 650 **(1)** | 23 090 |
| **Total liabilities** | | 98 090 **(1)** |
| **Total equity and liabilities** | | 279 565**(1of)** |

**W1** 45 670 **(1)** – 2 710 **(1)** = $42 960

Type MS · Statement of financial position from incomplete records

Answer 4 of 5 · Question 2 part b · 17 marks

2023 NOV · Paper 02 · extract 3 of 3 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(c)** | **Award (1) mark for identification of a disadvantage and a further (1) mark for development of the response. A further (1) mark to be awarded for any appropriate conclusion. (Max 5)**<br><br>**Sample answer**<br><br>The cost **(1)** of the hardware and software may require a fresh injection of capital **(1). (**Candidates may also refer to the cost of training staff or the cost of making staff redundant.) There is a risk **(1)** that data may be lost or corrupted due to computer viruses **(1).** Therefore Ed's business may not benefit from this investment. **(1)**<br><br>**Accept any other appropriate responses** | **(5)** |
| **Additional Guidance for Markers**<br><br>Where a candidate only provides a list award Max **(2)** | | |

**TOTAL FOR QUESTION 2 = 25 MARKS**

Type MS · Statement of financial position from incomplete records

Answer 5 of 5 · Question 1 part a.iii · 13 marks

2024 NOV · Paper 02 · extract 1 of 3 · find part a.iii in this mark scheme extract

| Number | | |
|---|---|---|
| 1(a)(i) | **Award marks as indicated.**<br><br>$67 350 **(4)W**<br><br>**W**<br><br>$48 200 **+** $235 000 **(1) –** $850 **(1) –** $215 000 **(1)** = $67 350 **(1)**<br><br>**Alternative presentation**<br><br>\| | $ \| \| $ \|<br>\| Balance b/d \| 48 200 \| Irrecoverable debt \| 850 **(1)** \|<br>\| Sales \| 235 000 **(1)** \| Receipts \| 215 000 **(1)** \|<br>\| \| \| Balance c/d \| 67 350 \|<br>\| \| 283 200 \| \| 283 200 \|<br>\| Balance b/d \| 67 350 **(1)** \| \| \| | **(4)** |

| Question Number | Answer | Mark |
|---|---|---|
| **(ii)** | **Award marks as indicated.**<br><br>$42 250 **(3) W**<br><br>**W**<br><br>$37 500 + $139 875 **(1) – $**135 125 **(1)** = $42 250 **(1)**<br><br>**Alternative presentation**<br><br>\| | $ \| \| $ \|<br>\| Payments \| 135 125 **(1)** \| Balance b/d \| 37 500 \|<br>\| Balance c/d \| 42 250 \| Purchases \| 139 875 **(1)** \|<br>\| \| 177 375 \| \| 177 375 \|<br>\| \| \| Balance b/d \| 42 250 **(1)** \| | **(3)** |

Type MS · Statement of financial position from incomplete records

Answer 5 of 5 · Question 1 part a.iii · 13 marks

2024 NOV · Paper 02 · extract 2 of 3 · find part a.iii in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| (iii) | **Award marks as indicated.** | |

**Romala**
**Statement of Financial Position at 31 August 2024**

| | $ | $ |
|---|---|---|
| **Assets** | | |
| **Non-current assets** | | |
| Motor vehicles | | 22 500 **(1)** |
| **Current assets** | | |
| Inventory | 32 600 **(1)** | |
| Trade receivables | 67 350 | |
| Other receivables | 950 **(1)** | |
| Cash at bank **W1** | 43 950 **(3)** | |
| | | 144 850 |
| **Total assets** | | 167 350 **(1)** |
| **Equity and liabilities** | | |
| **Equity** | | |
| At 1 September 2023 **W2** | 100 000 **(3)** | |
| Profit for the year | 47 000 **(1)** | |
| Drawings | (21 900) **(1)** | |
| Total equity | | 125 100 |
| **Current liabilities** | | |
| Trade payables | | 42 250 |
| **Total equity and liabilities** | | 167 350 **(1)** |

**(13)**

**Workings**

**W1**
$21 550 + $215 000 **(1)** – $192 600 **(1)** = $43 950 **(1)**

**W2**
$139 250 **(1)** - $39 250 **(1)** = $100 000 **(1)**

Type MS · Statement of financial position from incomplete records

Answer 5 of 5 · Question 1 part a.iii · 13 marks

2024 NOV · Paper 02 · extract 3 of 3 · find part a.iii in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1(b)** | **Award up to 2 marks for a discussion of each concept.**<br>**Award 1 mark for conclusion.**<br><br>**Sample answer**<br><br>By creating a provision for irrecoverable debts Romala will be complying with the prudence concept **(1)** as she will not be overstating either her profit for the year or the value of her trade receivables/current assets **(1)**<br><br>She will also be complying with the matching concept **(1)** as the possible loss of income from irrecoverable debts will be matched with the revenue earned in that period **(1)**<br><br>I would advise Romala to proceed with her proposal in order to have a more accurate set of financial statements **(1)**<br><br>**Accept any other appropriate responses** | **(5)** |

**TOTAL FOR QUESTION 1 = 25 MARKS**